



Reaching new heights

TLD ACE Trimester Review Meeting October 3, 2008

Superior GSE and Service



- 2008 Performance
 - 2008 End of Year Estimates
- 2009 Forecast
- Actions for Slowing Business Conditions
- Employee Incentive Program (RONCE)
- Conclusion



Agenda



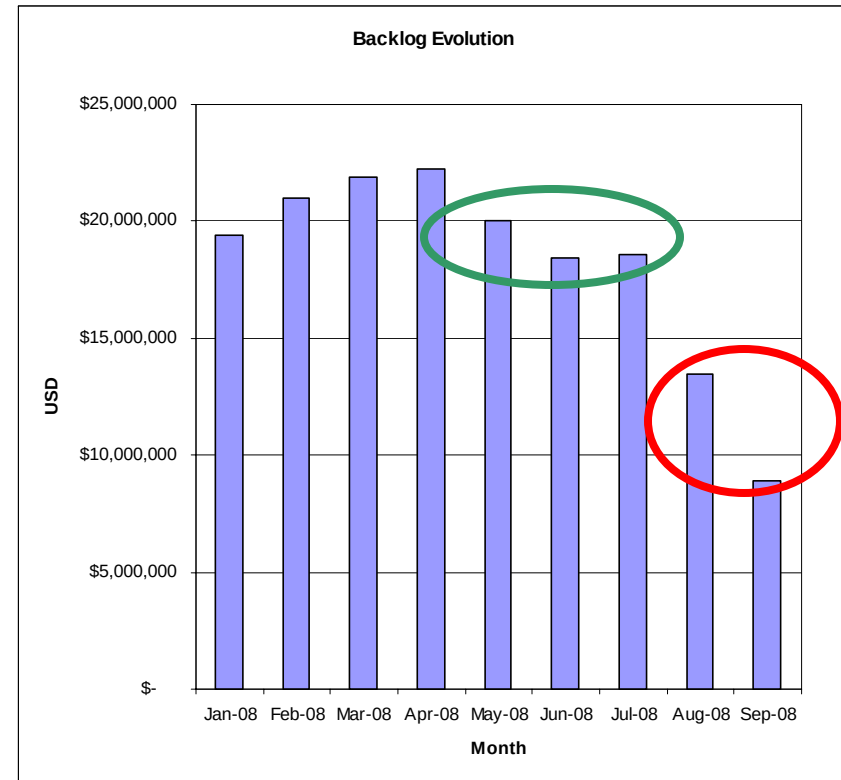
- Nine Months of exceptional Performance
 - Highest Monthly Sales Ever – \$7.1M
 - Most Units Ever – 96 Units
 - Highest Productivity Ever – 82.5%
 - Highest On-Time Delivery Ever – 82%
- Nine Months of Challenges
 - Highest Warranty Costs Ever - \$70K/Month average
 - Highest Production Supply Costs Ever - \$70K/Month average
 - Highest Fuel Costs Ever - \$140/bbl
- 2008 End of Year Forecast
 - Sales through Sep 08 – \$52.0M
 - \$5.2M/Month
 - Forecast through Dec 08 - \$64M
 - Forecasting less than \$4M/Month for Oct, Nov & Dec



2008 Performance



- Backlog
 - Orders we have received but not built and shipped
 - Too Big – lead times extend and customers go to a competitor
 - Too Small – business needs to react to reduce costs
- Planned Backlog Reduction
 - We needed to push from May through August to reduce our backlog and our lead times
 - Allowed us to accept two orders for 20 302s in July for Aug & Sept Deliveries
- Unplanned Backlog Reduction
 - Due to high fuel costs, orders slowed significantly starting in May
 - July only month with more than \$4.1M in bookings



2008 Backlog Evolution



- 2009 Forecast
 - Typically the next years forecast is based on current volume trends
 - 2009 is different – we see the industry shrinking due to the effects of fuel costs on our customers
 - The airline industry is using its cash to pay for fuel
 - Most of our customers have stopped all non-essential purchases
 - Initial estimates for 2009:
 - Overall year estimated to be 70% of 2008 - \$42M
 - First quarter substantially lower, perhaps \$3M/Month
 - Recovery estimated in summer 2009
 - Final estimates due next week
 - We'll have another meeting at mid-December to review the 2009 Forecast

– REMEMBER –

These are all estimates – no one can tell what the future holds



2009 Forecast



- We must take appropriate actions to ensure continued business health
 - Actions Taken:
 - Direct Labor reductions effective October 3 to size the workforce to match the business forecast
 - Tight control of overtime – only work OT when critical to the business
 - Future Plans:
 - Aggressive savings targets for overhead expenses for all departments
 - Strong plans to improve our product offerings
 - Technical improvements
 - Quality Improvements
 - Process Improvements

We must take this slowdown as the opportunity to improve our business and our products.

When the industry recovers we can be stronger than ever



Actions for Slowing Business Conditions



- LCU
 - Technical challenges continue on Cart 5
 - Important to be successful with these 5 carts
 - Next phase (separate contract) requires more performance, but more units
 - One unit for every JSF – Huge Global Market
- Land Based Air Conditioner (LBAC)
 - It appears our technical challenges are resolved
 - Potential for up to 150 units @ 4/month
- Super-MPU (Multi Purpose Unit)
 - Truck Mounted GPU, ACU, 60 HZ Set
 - Truck Mounted ASU
 - Prestige military products – supplier of choice for this type of package
- Low Total Cost of Ownership GPU
 - Targeted at increased fuel efficiency
 - Allow our customers to fight back against fuel costs

TLD Needs to Continue to Provide Exceptional Technical Solutions



On-Going Programs



- Every one of us can take actions every day to help us all during this downturn
 - QUALITY – Attention to detail and high quality in our delivered products will help make us the supplier of choice
 - PRODUCTIVITY – Ensuring we're contributing every hour of every day is essential to keeping our costs down
 - CONTINUOUS IMPROVEMENTS – When you have down time, focus on making your work easier, better, and more repeatable
 - COMMUNICATION – When you have a suggestion, improvement idea, or opportunity for improvement, talk with someone about it
 - CUSTOMER SERVICE – Listen to our customers, provide exceptional warranty support, deliver high quality products

Together, we can manage this slowdown effectively and be part of making this company stronger than ever



Individual Actions



- RONCE – Return on Net Capital Employed
 - Remember, in order to receive this ~8% bonus, we need to provide a competitive return on the money it takes to keep this business running
 - Inventory – Less is better
 - Costs – Less is Better
 - Efficiency – Higher is Better
 - Rework – Less is Better
 - Defects – Less is Better
 - Waste – Less is Better
- 2008 RONCE Incentive
 - The TLD ACE factory has done an excellent job in 2008, we are exceeding the performance requirements for this incentive
 - Even with the slowdown forecasted for the last quarter of 2008, today it appears that the RONCE incentives are safe for 2008

2009 - We can earn this incentive even in slow periods by improving our product quality, reducing our waste, inefficiency, inventory, and costs
– it is in our hands!

Employee Incentive Plan



- Our team has performed well in 2008, but global forces have created a business slowdown
- We must manage this slowdown to make us stronger when the industry recovers
- Continued focus on engineering, customer support, quality and costs are essential to our success

Each one of us has the ability to make this company the strongest GSE supplier in the industry



Conclusion

